CENTRAL ELECTRICITY REGULATORY COMMISSION
NEW DELHI

Review Petition No. 9/RP/2025 in
Petition No. 306/MP/2022

Coram:
Shri Jishnu Barua, Chairperson
Shri Ramesh Babu V., Member
Shri Harish Dudani, Member

Date of Order: 21st January, 2026

In the matter of

Review Petition under Section 94(1)(f) of the Electricity Act, 2003, read with Regulation 52 of the Central Electricity Regulatory Commission (Conduct of Business) Regulations, 2023, seeking review of the order dated 19.05.2025 passed in Petition No. 306/MP/2022.

And
In the matter of:

Kreate Energy (I) Private Limited,
Unit No.1002, 10th Floor, Antriksh Bhawan,
22 Kasturba Gandhi Marg,
New Delhi -110001. **…Petitioner**

VERSUS

1. **Uttarakhand Power Corporation Limited,**
   Victoria Cross Vijeta Gabar Singh Urja Bhawan,
   Kanwali Road, Dehradun- 248001.

2. **Indian Energy Exchange Limited,**
   Plot No. C-001/A/1, 9th floor,
   Max Towers, Sector 16 B,
   Noida, Gautam Buddha Nagar–201301. **…Respondents**

Parties Present: Shri Gopal Jain, Sr. Advocate, Kreate
Shri Adarsh Tripathi, Advocate, Kreate
Shri Ajitesh Garg, Advocate, Kreate

ORDER

This Review Petition has been filed by the Review Petitioner, Kreate Energy (I) Private Limited (KEIPL), seeking a review of the Commission's order dated

19.5.2025 in Petition No. 306/MP/2022 (the 'impugned order'), whereby the Review Petitioner/KEIPL was given a notice under Section 19 (3) of the Electricity Act, 2003 (hereinafter referred to as 'the Act'), read with Regulations 9 and 20 of the Central Electricity Regulatory Commission (Procedure, Terms and Conditions for Grant of Trading Licence and other Related Matters) Regulations, 2020 (hereinafter referred to as the '2020 Trading Licence Regulations), to show cause as to why its licence for inter-State trading of electricity should not be revoked for the various violations detailed in the impugned order. The Commission also directed KEIPL to submit its response within three (3) months from the date of issuance of the impugned order and observed that the reply submitted by KEIPL would be considered when deciding on the notice of revocation of licence under Section 19(1)(a) and Section 19(1)(b) of the Act.

2. According to the Review Petitioner, the Commission erred in applying Section 19 of the Act by treating revocation as inevitable. Additionally, the Review Petitioner challenged the impugned order on the grounds, namely, of (a) reliance on undecided and unadjudicated matters, (b) non-consideration of recoverable dues of the Review Petitioner, (c) erroneous application of Section 19 of the Act by treating revocation as inevitable, (d) cascading adverse effects on ongoing transactions, (e) lack of creditor actions, and (f) mischaracterisation of defaults and forum shopping.

3. The Review Petitioner has made the following prayers in this Review Petition:

> *"(a) Review and set aside the Order dated 19.05.2025 in Petition No. 306/MP/2022 to the extent it issues a show cause notice.*
>
> *(b) Keep the said Order in abeyance till disposal of this Review Petition.*
>
> *(c) Pass any such further orders as this Commission may deem just and appropriate in the facts and circumstances of the case."*

Submissions of the Review Petitioner

4. The Review Petitioner/KEIPL has mainly made the following submissions:

(a) KEIPL is an inter-State trading licensee (Category-II) engaged in power trading activities since its licence was granted by this Commission under the Act. It has undertaken several contractual trading transactions with various DISCOMs, including Respondent No.1, Uttarakhand Power Corporation Limited (UPCL).

(b) KEIPL entered into multiple agreements with UPCL for trading surplus power through the Indian Energy Exchange (IEX) between 2016 and 2020, which include the Agreement dated 28.09.2016 for Calendar Year (CY) 2017, the Agreement dated 29.12.2017 for CY 2018, the Supplementary Agreement dated 26.12.2018 for CY 2019, and the Agreement dated 28.12.2019 for CY 2020. These Agreements provided for weekly billing and settlement mechanisms.

(c) The power was duly traded under the said Agreements, and UPCL received payment accordingly. However, the onset of the COVID-19 pandemic in early 2020 severely disrupted the power sector, causing delays in collections from downstream buyers, and consequent liquidity stress for KEIPL.

(d) In July 2020, UPCL issued a reconciliation letter raising a claim for outstanding dues, to which the Review Petitioner responded vide letter dated 22.08.2020, seeking time for verification and adjustment.

(e) Instead of clearing the outstanding amount, the Review Petitioner issued a payment plan on 10.09.2020, proposing to clear the dues through a combination of post-dated cheques (PDCs), assignment of receivables, and monetisation of solar assets. The said proposal was conditionally accepted by UPCL, pursuant to which partial payment was made and certain cheques were honoured. A few cheques issued as security under the payment plan were returned due to insufficient funds. Thereafter, the Review Petitioner, vide letter dated 12.11.2020, clarified that these PDCs were furnished only as security and not as instruments of final settlement.

(f) Notwithstanding the above, UPCL/Respondent 1 initiated proceedings under Section 138 of the Negotiable Instruments Act, 1881 (for short, 'NI Act') for the dishonour of the cheques, and the complaints are currently pending before the Magistrate's Court in Dehradun. The subject matter of such complaints entirely overlaps with the main Petition No. 306/MP/2022 filed by UPCL.

(g) KEIPL, vide reply dated 06.06.2023, denied UPCL's allegations and submitted that all contractual obligations had been duly discharged till 2020, and that any subsequent delay was attributable to extraneous factors, including the COVID-19 pandemic. It was further reiterated that the PDCs were issued only as security, and that their invocation and recourse to NI Act proceedings were misconceived. It was also submitted that the underlying dispute, being contractual and non-tariff in nature, ought to be referred to arbitration under the governing agreement.

(h) KEIPL filed an affidavit dated 31.7.2023 in response to UPCL's affidavit dated 25.7.2023, clarifying that steps were taken pursuant to the

Commission's order dated 13.6.2023, including an upfront offer of ₹2.5 crore made during the writ proceedings and reiterated vide letter dated 24.7.2023. The affidavit reiterated that revocation of the licence would be disproportionate, commercially destructive, and contrary to public interest.

(i) KEIPL, in compliance with the oral observations of the Commission and to demonstrate its *bona-fide* intent, voluntarily handed over a cheque of ₹3 crore to UPCL in open proceedings, thereby reducing the outstanding principal liability and demonstrating its *bona-fide* intent to amicably resolve the dispute and avoid coercive action. Therefore, any proceedings for revocation of licence are wholly unwarranted.

(j) KEIPL, in its reply dated 15.2.2024 to the IA No. 85 of 2023, strongly opposed the Application filed by UPCL, contending that the reliefs sought were inconsistent with the main prayer for revocation under Section 19 of the Act, amounted to a colourable exercise, were jurisdictionally untenable, and infringed its right to a fair hearing. The disputes are commercial and arbitrable, and that an amount of about ₹38 crore stood paid (including ₹3 crore before the Commission), and that a settlement plan had been submitted. According to KEIPL, substantial recoveries from SPTPL and IPCL (Petition No. 94/MP/2023) and J&K PDD are pending.

(k) KEIPL also filed IA No. 16 of 2024 dated 15.2.2024, seeking reference of the disputes in Petition No. 306/MP/2022 to arbitration under the arbitration clause in the agreement with UPCL, contending that, in light of Section 79(1)(f) of the Act and the judgment of the APTEL in Southern Power Distribution Company of AP Ltd. v. APERC, Appeal Nos. 397 of 2022

and 147 of 2021, such contractual disputes are arbitrable and beyond the scope of unilateral regulatory adjudication. However, while noting these submissions, the Commission did not record any reasoned finding on the maintainability or merits of IA No. 16 of 2024, and the application was neither rejected with reasons nor kept pending for decision.

(l) The impugned order has drawn conclusive inferences of liability and systemic default against KEIPL by relying on multiple proceedings that were largely at preliminary stages, with pleadings yet to be completed and no factual adjudication on record. This approach treated pendency as proof of guilt and deprived the Review Petitioner of its right to fair adjudication and the presumption of innocence, in violation of the principles of natural justice.

(m) The Commission relied upon in certain cases, whose details are given in paragraph 21 of the Review Petition, were at varied and incomplete stages of progress, with pleadings pending or substantive hearing yet to commence in most of them. Yet they have been invoked to justify the issuance of a show cause notice under Section 19 of the Act. These matters pertain to commercial and banking disputes commonly encountered in electricity trading, several of which involve counterclaims by KEIPL (e.g., 94/MP/2023), and that, if allowed, would yield a net financial credit in its favour. However, instead of awaiting the outcome of these cases, the Commission is said to have acted on presumptive liability and prejudged sub-judice disputes, including in cases where KEIPL's replies were not on record (Petition Nos. 288/MP/2024 and 261/MP/2024), contrary to natural justice and amounting to an error apparent on the face of the record.

(n) The impugned order fails to consider that the Review Petitioner is pursuing recovery of substantial sums before the Commission, most notably ₹8.22 crore in Petition No. 94/MP/2023 from Saranyu Power Trading Pvt. Ltd. and India Power Corporation Limited, which directly relate to power banked under the HPPC transaction and are also subject to Petition No. 282/MP/2022. The non-consideration of its creditor position in the back-to-back supply chain has led to an incorrect characterization of the Review Petitioner as a defaulter.

(o) Revocation is an extreme measure reserved for cases of fraud, willful default or moral turpitude, not for commercial disputes. It is contrary to the law laid down by the Hon'ble Supreme Court in Global Energy Limited vs. CERC, which held that mere contractual breach does not warrant licence revocation.

(p) The impugned show-cause notice proposing revocation of the Review Petitioner's trading licence has far-reaching and adverse effects not only on the Petitioner but also on multiple third parties engaged in lawful and regulated transactions. The Review Petitioner presently holds several long-term PPAs and banking contracts that extend beyond October 2025, involving both consumers and generators across multiple States. Revocation of the licence would frustrate these legally binding contracts, jeopardize settled energy exchanges, derail operational execution, and trigger cross-defaults and disputes. A trading licence is not revocable merely because of a payment dispute or a breach of commercial terms, as such actions run counter to the concept of electricity trading recognised under the Act. Trading involves a chain of dependencies, settlements, and mutual

arrangements. If every delayed payment or LPS (Late Payment Surcharge) dispute is treated as an act of default justifying licence revocation, the trading framework will collapse.

(q) The Respondent's/UPCL's focus on revoking the licence rather than recovering dues through proper remedies raises questions about the good faith of these proceedings. The impugned show cause notice effectively eliminates a competing trader from the market by weaponizing pending disputes. Using proceedings under Section 138 of the NI Act to assume a default is incorrect, as the cheques were given as security. The Magistrate's Court has not yet issued a conviction, so drawing adverse inferences from ongoing cases is premature and unjustified. The impugned order overlooks the Review Petitioner's *bona-fide* efforts to settle dues, including partial payments such as ₹3 crore tendered before the Commission.

5. The matter was heard on 18.9.2025. After the hearing, the order in the matter was reserved.

Analysis and Decision

6. The Review Petitioner has filed the present Review Petition on the grounds of wrong reliance on undecided matters, failure to consider recoverable dues of the Review Petitioner, and mischaracterisation of defaults and Forum Shopping.

7. The Review Petitioner has submitted that the Commission, in the impugned order dated 19.5.2025, relied on pending cases instituted against the Review Petitioner by the Distribution Licencees, alleging default in payment and in honouring contractual obligations, without appreciating that pleadings in most of these cases were yet to be completed. The Commission then issued a show-cause

notice proposing the revocation of the Review Petitioner's trading licence under Section 19 of the Act, vide the said order dated 19.5.2025. The reliance on undecided and unadjudicated cases amounts to prejudging and presuming default based on cases with incomplete pleadings, directly contravening the principles of natural justice. The Review Petitioner has contended that the Commission, in the impugned order, failed to take note of the recoverable dues of KEIPL and erred in the application of Section 19 of the Act by treating revocation as inevitable. Therefore, all these acts constitute an error apparent on the face of the record, requiring modification of the impugned order.

8. We have examined the submissions made by the parties and have perused the record, including the impugned order.

9. Regulation 52 of the 2023 COB Regulations provides as follows:

> ***"Review of Orders, Decisions and Directions***
>
> *(1) The Commission shall exercise jurisdiction to review its own orders, decisions, and directions in accordance with Clause (f) of sub-section (1) of Section 94 of the Act read with Section 114 and Order 47 of the Civil Procedure Code.*
>
> *(2) Any person aggrieved by a direction, decision, or order of the Commission, from which no appeal has been preferred, may file a review petition on the following grounds within forty days of the making of such decision, direction, or order:*
>
> *(a) Upon the discovery of new and important matter or evidence that, after the exercise of due diligence, was not within his knowledge or could not be produced by him at the time when the direction, decision, or order was passed or;*
>
> *(b) On account of some mistake or error apparent from the face of the record, or;*
>
> *(c) If there is any other sufficient reason to review the matter.*
> *……."*

<u>Analysis and Decision</u>

10. We have examined the submissions of the Review Petitioner. The instant Review Petition has been filed under Section 94(1)(f) of the Act, read with Regulation 52 of the Central Electricity Regulatory Commission (Conduct of

Business) Regulations, 2023 (for short, '2023 COB Regulations'), seeking review of the impugned order dated 19.5.2025 in Petition No. 306/MP/2022. Under Section 94(1)(f) of the Act, the Commission is vested with the same powers as are vested in a civil court under the Code of Civil Procedure, 1908, in the matter of "reviewing its decision, directions and orders". Regulation 52(2) of the 2023 COB Regulations provides that an aggrieved person can seek the review of a direction, decision or order of the Commission on grounds analogous to those set out under Order 47 Rule 1 of the Code of Civil Procedure, 1908.

11. Petition No. 306/MP/2022 was filed by UPCL under Section 19 of the Act, read with Regulation 20 of the 2020 Trading Licence Regulations, against the Review Petitioner, *inter alia*, for wilful and prolonged failure to clear outstanding dues owed to UPCL under various contracts between the parties, and for seeking action against KEIPL, i.e., revocation of the trading licence granted to KEIPL. The Review Petitioner has not disputed UPCL's claim for the amount in question. Further, it is not the case of the Review Petitioner that there is discovery of a new and important matter or evidence, which was not known or could not be produced by it at the time when the impugned order was passed.

12. The basis for filing this Review Petition is that the impugned order dated 19.5.2025, which issued a show-cause notice proposing the revocation of its trading licence, relied on undecided or unadjudicated issues and overlooked its recoverable dues. According to the Review Petitioner, the impugned order prejudges and assumes the Review Petitioner to be in default based on cases where the pleadings are not yet completed. To address this contention of the Review Petitioner, it is necessary to refer to the relevant excerpts of the impugned order dated 19.5.2025, which are as follows:

"***Hearing dated 1.5.2024***

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36. The matter was again heard along with Petition No. 87/MP/2024, also filed against KEIPL for default in payment. The learned senior counsel for Respondent, KEIPL submitted that, Respondent has additionally paid Rs.1.25 crores to the Petitioner, UPCL on 11.3.2024 and Respondent, along with its affidavit dated 15.2.2024, has also indicated the proposed payment plan, which the Respondent is willing to abide by, provided the Petitioner does not press for the same outstanding quantum/dues under the proceedings initiated under Negotiable Instrument Act, 1881

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39. Considering the submissions made by the learned senior counsel and learned counsel for the parties, the Commission expressed strong disapproval of the conduct of Respondent KEIPL. ***Keeping in view the overall facts and circumstances involved in these cases, the Commission directed Respondent, KEIPL, to make the payment of the entire principal outstanding in two equated monthly instalments, with the first instalment becoming due on 1.6.2024 and the second instalment becoming due on 1.7.2024.*** *KEIPL was also directed to file a compliance affidavit within a week thereafter.* ***The Commission also clarified that failure on the part of Respondent, KEIPL, to abide by the aforesaid direction will lead to the initiation of appropriate proceedings against Respondent under the provisions of the Act and the Trading Licence Regulations.***

"Hearing dated 9.12.2024

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41. After hearing the learned senior counsel for the parties, the Commission directed to list the matter for further hearing/compliance on 26.12.2024, and in the meantime, the Respondent may comply with the direction dated 1.5.2024. ***The Commission, however, made it amply clear that such compliance by the Respondent, if any, will be without prejudice to its liability arising out of the non-compliance with the direction dated 1.5.2024 in the stipulated timeframe. The Respondent was also permitted to file its brief note of submissions****.*

"Hearing dated 26.12.2024

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43. The matter was last heard on 26.12.2024. ***During the course of the hearing, the learned counsel for the Petitioner submitted that as of date, the principal amount of Rs. 20.75 crores and Late Payment Surcharge (LPS) of Rs.34 crores are required to be paid by Respondent No.1 (KEIPL)****.* ***Learned counsel submitted that vide Record of Proceedings for the hearing dated 1.5.2024, Respondent No.1 was directed to make the payment of the entire principal outstanding in two equated monthly instalments****.* ***However, no compliance has been made to the said direction of the Commission by Respondent No.1, KEIPL.*** *Learned senior counsel for the Respondent No. 1 submitted that KEIPL remains committed to resolving the disputes amicably and in a manner that ensures finality. However, the Petitioner's conduct, including the pursuit of parallel proceedings and imposition of unwarranted charges, has rendered the situation*

untenable and has made it impossible to redress the issues. Learned senior counsel added that necessary directions be passed for amicable settlement of the matter(s), whereby parties can sit together and arrive at a full and final settlement, which results in payment to the Petitioners, while also ensuring the withdrawal of all the cases and action on the blacklisting by the Petitioner.

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49. We have considered the submissions made by the parties. The Present petition has been filed by the Petitioner for the initiation of the appropriate proceedings under Section 19 of the Act, read with the provisions of the Trading Licence Regulations, for revocation of the inter-State trading licence granted to the Respondent, KEIPL. Thus, the present matter is no longer a contractual matter, as envisaged under Section 79(1)(f), but rather a regulatory matter. Needless to mention that trading in electricity is a regulated activity under the Act, as trading is envisaged to promote competition and thereby serve public interest. If the trading licencees are allowed to flout the terms and conditions of the agreements for purchase and sale of electricity in the course of trading, there will be uncertainties in the electricity market that may shake the confidence of the generating companies, distribution licencees, and consumers, thereby affecting competition, which is against public interest. Considering the fact that the present matter involves the revocation of the trading licence and further not filed under Section 79(1)(f) of the Act, we do not find it appropriate to refer the dispute/ issue to arbitration as prayed by the Respondent, KEIPL.

50. The Commission has specified the Trading Licence Regulations, which contain the terms and conditions for the grant of inter-State trading licence, net worth requirement, and credit worthiness for the grant of trading licence, the obligations of the licencee, revocation of the licence, offences and punishment to the licencee, etc. We are concerned with the exercise of the power of the Commission under Section 19 of the Act in the facts of the present case. Section 19 of the Act deals with the circumstances and procedure for revocation of the licence. Regulation 20 of the Trading Licence Regulations contains analogous provisions. Section 19 of the Act covers the following circumstances for revocation of licence. Section 19 of the Act is extracted as under Section 19 of the Act is extracted as under:

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51. If the Commission, after making an enquiry, is satisfied that any of the above circumstances exist and public interest so requires, the licence can be revoked. Before revocation of the licence, the Commission has to give a notice of three months to the licencee stating the grounds on which it is proposed to revoke the licence, and after considering the cause shown by the licencee. Thus, satisfaction of the Commission after making an enquiry about the existence of any of the circumstances for revocation and further satisfaction that public interest requires revocation in such circumstances are the relevant considerations for the exercise of power under Section 19 of the Act.

52. We now proceed to examine whether the Petitioner has made out the case under Section 19 of the Act against the Respondent. Section 19(1)(a) of the Act provides that "where the licencee, in the opinion of the Appropriate Commission, makes willful and prolonged default in doing anything required of him by or under

this Act or the Rules or regulations made thereunder." Section 52(2) of the Act provides that "every electricity trader shall discharge such duties, in relation to supply and trading in electricity, as may be specified by the Appropriate Commission". Regulation 9 of the Trading Licence Regulations specifies the following obligations for inter-State trading licencees:

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53. Section 52 (2) read with Regulation 9 of the Trading Licence Regulations casts a statutory obligation on the person issued with a trading licence by this Commission to discharge such duties in relation to the supply and trading of electricity as may be specified by the Commission. The Petitioner has submitted that the Respondent, KEIPL, has violated the obligations of the licencee specified in Regulation 9 of the Trading Licence Regulations. Regulation 9(1) provides that a licencee shall abide by the Act, Rules, and applicable regulations of this Commission. Regulation 9(5) provides that the licencee shall not charge trading margin more than that specified by the Commission. Regulation 9(6) provides that the licencee shall continue to be governed by the qualifications and disqualifications specified in the Trading Licence Regulations 2020 throughout the life of the licence. Regulation 9(10) provides that the licencee is required to always ensure payment to the seller for the purchase of the agreed quantum of electricity either through a letter of credit or any other appropriate instrument or as may be mutually agreed between the seller and the licencee. Thus, a trading licencee is bound to always ensure payment to the Seller for the purchase of the agreed quantum of electricity through the appropriate instrument or as may be mutually agreed between the parties.

54. The Petitioner has submitted that there was no delay on the part of the exchange in remitting any amounts to the Respondent, as clear in the reply from IEX dated 25.8.2020. The Respondent, KEIPL, entered bids for selling power provided by the Petitioner on the power exchange; the said bids were cleared and the power was sold; Respondent received full payment in respect of the sale from the power exchange, but withheld the said amounts and did not forward the same to the Petitioner. According to the Petitioner, KEIPL has made willful and prolonged default as provided in the provisions of Regulation 9 of the Trading Licence Regulations 2020.

55. We note that the Respondent has not paid the dues of the Petitioner for supply of power under Agreements (including extensions) dated 28.09.2016, 29.12.2017, 26.12.2018, and 28.12.2019. The Respondent had given post-dated cheques for payment of the outstanding dues, which could not be encashed by the Petitioner due to insufficient balance. The Respondent, KEIPL vide its affidavit dated 31.7.2023, has submitted that KEIPL is facing an application for initiation of Corporate Insolvency Resolution Process pending before the National Company Law Tribunal, being case No. IB/521/ND/2022, since the last year, and is on the verge of getting insolvent. However, the Respondent has failed to produce any documentary evidence in support of its plea regarding the said insolvency or moratorium. The contention of the Respondent that KEIPL is on the verge of insolvency is therefore rejected.

56. Without prejudice to the actions pending before the Magistrate Court, Dehradun for dishonor of cheques, we are of the view that failure to release payments against the post-dated cheques for outstanding dues, amounts to prolonged and willful defaults on the part of KEIPL to ensure timely payment to the Petitioner for supply of power which KEIPL as a trading licencee is required to comply with in terms of Regulation 9(10) of the Trading Licence Regulations 2020. In our view, the actions of Respondent No. 1, KEIPL, are in violation of the provisions of the terms and conditions of the Agreements of Sale of Power executed for different periods read with provisions of Regulation 9(10) of the Trading Licence Regulations which enjoins upon the trading licencee to ensure payment of dues to the seller. Therefore, it satisfies the conditions of Section 19 (1) (a) of the Act. Further, the trading in electricity is a regulated activity under the Act, as trading is envisaged to promote competition and thereby serve public interest. If the trading licencees are allowed to flout the terms and conditions of the agreements for purchase and sale of electricity in the course of trading, there will be chaos in the market, shake the confidence of the generating companies and distribution licencees/consumers, and thereby affect competition, which is against public interest. Therefore, public interest demands that such practices are strongly discouraged, and the licencees indulging in such practices are dealt with strictly in accordance with law. We are of the view that a case against KEIPL under Section 19 (1) (a) of the Act for revocation of the licence has been made out.

57. We further note that the Commission, on several occasions, has directed the Respondent, KEIPL, to rectify its prolonged and wilful non-compliance with the terms and conditions of the Trading Licence Regulations 2020. However, the Respondent has failed to comply with these terms, particularly regarding the payment of the outstanding amount. On multiple occasions, the Commission expressed its strong disapproval of KEIPL's conduct and made it clear that failure to adhere to the directions would result in the initiation of appropriate proceedings under the provisions of the Act and the Trading Licence Regulations. Despite this, KEIPL has continued to disregard the Commission's directions, reflecting a willful negligent attitude towards compliance."

13. As per the above order, the UPCL/the Respondent herein, *inter alia*, requested the initiation of proceedings under Section 19 of the Act and Regulation 20 of the 2020 Trading Licence Regulations to revoke the Review Petitioner's/KEIPL's inter-State trading licence. On perusal of the impugned order, as extracted above in this order, particularly at paragraph 55, we note that KEIPL did not pay the dues to UPCL for the supply of power under the Agreements (including extensions) dated 28.9.2016, 29.12.2017, 26.12.2018, and 28.12.2019. KEIPL had issued Post-Dated Cheques (PDCs) towards payment of the outstanding dues, which were dishonoured upon presentation due to insufficient

funds. The impugned order records that in its affidavit dated 31.7.2023, KEIPL submitted that proceedings for initiation of the Corporate Insolvency Resolution Process (CIRP) were pending before the National Company Law Tribunal, New Delhi, in Case No. IB/521/ND/2022, and that it was on the verge of insolvency. However, KEIPL failed to produce any documentary evidence substantiating its plea of insolvency, and, accordingly, the Commission rejected KEIPL's plea for want of corroborating evidence. A perusal of paragraph 54 of the impugned order records a categorical finding that there was no delay on the part of the exchange in remitting any amount to KEIPL, as is clear from the reply of IEX dated 25.8.2020. Further, KEIPL participated in the Power Exchange transactions, in which it placed bids to sell power supplied by UPCL on the Indian Energy Exchange (IEX). The said bids were cleared, and KEIPL received full payment for the sale proceeds from the Power Exchange. However, KEIPL withheld the said amount and failed to remit the corresponding payment to UPCL. We have recorded a clear finding in the impugned order, without prejudice to the actions pending before the Magistrate Court, Dehradun, for dishonour of cheques, that failure to release payment against the post-dated cheques for outstanding dues amounts to prolonged and wilful defaults on the part of KEIPL to ensure the timely payment to UPCL for supply of power, which KEIPL, as a trading licensee, is required to comply with as per Regulation 9(10) of the 2020 Trading Licence Regulations. Such actions of the Review Petitioner are in contravention of the terms and conditions of the Power Sale Agreements executed for various periods, read with Regulation 9(10) of the 2020 Trading Licence Regulations, which imposes an obligation upon a trading licencee to ensure due payment to the seller. In view of the above, the UPCL's request for revocation of KEIPL's trading licence under Section 19 of the Act was duly considered by the Commission.

14. Further, the Paragraphs 53 to 57 of the impugned order record that the Commission, upon consideration of Section 52(2) of the Act along with Regulation 9 of the 2020 Trading Licence Regulations, has held that a person granted a trading licence by the Commission is under a statutory obligation to discharge the duties relating to supply and trading of electricity as specified by the Commission. The Commission further observed that Regulation 9(10) of the said Regulations mandates a trading licencee to ensure payment to the seller for the purchase of electricity at all times, either through a letter of credit or any other suitable financial instrument, or as mutually agreed between the parties. Accordingly, a trading licencee is under an obligation to secure and guarantee payment to the seller for the agreed quantum of electricity through an appropriate mechanism or as otherwise mutually decided.

15. In the impugned order, it has been recorded that KEIPL failed to pay the outstanding dues of UPCL despite repeatedly acknowledging its liability and despite specific assurances and commitments made before us to discharge such liability, as reflected from time to time in our Record of Proceedings. We noted that KEIPL did not honour these commitments and thereby failed to adhere to its obligations as a trading licencee to ensure due and timely payment to the seller. In our view, these actions constitute prolonged and deliberate defaults in ensuring timely payment to UPCL for the power supplied, which KEIPL, as a trading licencee, was required to comply with as per Regulation 9(10) of the 2020 Trading Licence Regulations.

16. It is noted that even after the filing of the Petition by UPCL (Petition No. 306/MP/2022), KEIPL continued to admit its liability and default in payment and

gave assurances to liquidate the dues, none of which were fulfilled, thereby reinforcing the finding of wilful non-compliance. In these circumstances, we observed that KEIPL's actions violated provisions of Regulation 9(10) of the 2020 Trading Licence Regulations, thereby satisfying the requirement of Section 19(1)(a) of the Act for revocation of licence, and further observed that, given that trading in electricity is a regulated activity intended to promote competition, maintain market discipline and safeguard public interest, condoning such breaches would lead to market disorder, undermine stakeholders confidence, and distort competition. Accordingly, we held that a case for issuance of a show cause notice for revocation of KEIPL's trading licence under Section 19(1)(a) of the Act stood made out.

17. The case set up by the Review Petitioner is based on the plea that the impugned order dated 19.5.2025, whereby a show cause notice proposing revocation of its trading licence was issued, is vitiated as it is allegedly founded on undecided or unadjudicated issues and does not consider its recoverable dues. This contention is misconceived. The facts pertaining to the present case, including the conduct of the Review Petitioner, have been duly considered by us while proposing issuance of a show cause notice for revocation of the Review Petitioner's trading licence, as extracted above in the impugned order in paragraph 11. The primary basis for issuance of the show cause notice is the persistent default by KEIPL in fulfilling its obligations as a trading licencee in the present case and its further failure to honour the assurances given before us, as recorded in detail in the impugned order dated 19.5.2025.

18. In these circumstances, the Review Petitioner`s plea that the Commission has relied upon, undecided cases while issuing the show cause notice, is

untenable, since the Commission, upon enquiry, found that in the present case, KEIPL has prima facie committed violations under the 2020 Trading Licence Regulations, read with the applicable provisions of the Act.

19. Be that as it may, the Commission, in paragraph 58 of the impugned order, made a mention of the Petitions pending before it i.e. (1) Petition No. 87/MP/2024 filed by DB Power Limited for non-payment of outstanding dues, (2) Petition No. 282/MP/2022 filed by Haryana Power Purchase Centre for default in return of banked power, (3) Petition No. 261/MP/2024 filed by Southern Power Distribution Company of Andhra Pradesh Limited for default in return of banked power, and Petition No. 288/MP/2024 filed by Himachal Pradesh State Electricity Board Limited for default in return of banked power to refer to the conduct of the Review Petitioner, and no conclusion was drawn based on them which is apparent from the above discussion.

20. Referring to the judgment of the Hon'ble Supreme Court in the case of Global *Energy Limited v. Central Electricity Regulatory Commission (supra)*, the Review Petitioner contended that a mere contractual breach does not warrant licence revocation. Perusal of the said judgment indicates that the Hon'ble Supreme Court in its judgment considered the constitutional validity of clauses (b) and (f) of Regulation 6A of the Central Electricity Regulatory Commission (Procedure, Terms and Conditions for Grant of Trading Licence and other related matters) (Amendment), Regulation 2006 which holds no relevance to the factual matrix of the present case moreover the no order of licence revocation has been passed and by way of impugned order show cause notice has only been issued.

21. Regarding the contention of the Review Petitioner about forum shopping by the Respondent/UPCL, such as filing proceedings under Section 138 of the NI Act before the Magistrate Court in Dehradun, we refrain from making any observations on the above matter as it falls within the jurisdiction of the Magistrate Court in Dehradun.

22. With regard to the contention of KEIPL seeking reference of the disputes in Petition No. 306/MP/2022 to arbitration in terms of the arbitration clause in the Agreement(s) with UPCL and in light of Section 79(1)(f) of the Act and no reasoned finding being returned, we are of the view that the said aspect was duly considered by the Commission in the impugned order wherein the Commission clearly observed that the present matter involves the revocation of the trading licence and the Petition was not filed under Section 79(1) (f) of the Act and as such it was not appropriate to refer the dispute/issue to arbitration. Moreover, the revocation of the licence entails the exercise of regulatory powers, which is non-arbitrable. The Review Petitioner in this Review Petition is reiterating its submissions already considered in the impugned order, which is impermissible in review.

23. The show notice was issued by the Commission on 19.5.2025, and the statutory period of three months, as prescribed under Section 19(3) of the Act, was given to KEIPL. Instead of furnishing its response within the prescribed statutory period, KEIPL has chosen to file the present Review Petition. The conduct of KEIPL clearly indicates that the sole purpose of such a filing is to delay the proceedings, which deserves to be strongly deprecated.

24. For the reasons mentioned above, we find no merit in the submissions of the Review Petitioner to entertain the present Review Petition as it does not show

any error apparent on the face of the record. The present Review Petition has no merit. It is noted that the Review Petitioner has not filed a reply to the show cause notice within the period provided for the same. However, in the interest of justice, the Review Petitioner is granted another opportunity to file the same within a period of ten days from the issuance of this order.

25. Review Petition No. 9/RP/2025 is disposed of in terms of the above.

Sd/-	sd/-	sd/-
(Harish Dudani)	**(Ramesh Babu V.)**	**(Jishnu Barua)**
Member	**Member**	**Chairperson**

CERC Website S. No. 47/2026